



CLARK SCHAEFER HACKETT
BUSINESS ADVISORS

Highland Computer Forms, Inc.

Financial Statements

December 31, 2023 and 2022

with Independent Accountants' Review Report

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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

Stockholders
Highland Computer Forms, Inc.
Hillsboro, Ohio

We have reviewed the accompanying financial statements of Highland Computer Forms, Inc., which comprise the balance sheets as of December 31, 2023 and 2022, and the related statements of income, changes in stockholder's equity, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of Highland Computer Forms, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our review.

Accountant's Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in conformity with accounting principles generally accepted in the United States of America.

Clark, Schaefer, Hackett & Co.

Springfield, Ohio
February 13, 2024

Highland Computer Forms, Inc.
Balance Sheets
December 31, 2023 and 2022

Assets

	<u>2023</u>	<u>2022</u>
Current assets:		
Cash and cash equivalents	\$ 606,665	224,004
Accounts receivable, trade	917,593	1,173,453
Accounts receivable, other	90,154	1,352,277
Inventories	1,096,561	1,733,922
Prepaid expenses	<u>11,844</u>	<u>5,804</u>
	<u>2,722,817</u>	<u>4,489,460</u>
Property, plant and equipment:		
Land	100,000	100,000
Buildings	500,000	500,000
Leasehold improvements	1,093,017	1,043,329
Machinery and equipment	6,717,643	6,638,006
Vehicles	149,313	149,313
Furniture, fixtures and office equipment	<u>209,970</u>	<u>209,970</u>
	8,769,943	8,640,618
Less accumulated depreciation	<u>6,897,027</u>	<u>6,642,059</u>
	<u>1,872,916</u>	<u>1,998,559</u>
Other assets:		
Cash value of life insurance	-	176,655
Right of use assets, operating	7,572	22,269
Goodwill	10,000	10,000
Deposits	<u>10,009</u>	<u>20,523</u>
	<u>27,581</u>	<u>229,447</u>
	<u>\$ 4,623,314</u>	<u>6,717,466</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Balance Sheets (continued)
December 31, 2023 and 2022

Liabilities and Stockholders' Equity

	<u>2023</u>	<u>2022</u>
Current liabilities:		
Line of credit	\$ -	700,000
Long-term debt, current portion	18,817	17,991
Finance lease, current portion	3,001	8,667
Operating lease, current portion	7,572	14,698
Accounts payable, trade	284,395	1,181,015
Customer deposits	202,140	-
Accrued payroll and related costs	295,060	328,523
Accrued rent, affiliates	77,500	105,500
Accrued taxes	43,884	44,827
Accrued interest	-	3,296
	<u>932,369</u>	<u>2,404,517</u>
Long-term debt:		
Note payable, affiliate	193,786	193,786
Long-term debt, net of current portion	415,107	433,924
Finance lease, net of current portion	-	1,500
Operating lease, net of current portion	-	7,571
	<u>608,893</u>	<u>636,781</u>
Stockholders; equity:		
Common stock, 500 shares authorized, 499 shares issued and outstanding	1,000	1,000
Additional paid-in capital	549,000	549,000
Retained earnings	<u>2,532,052</u>	<u>3,126,168</u>
	<u>3,082,052</u>	<u>3,676,168</u>
	\$ <u>4,623,314</u>	<u>6,717,466</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Income
Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
Sales, net	\$ 10,920,420	11,896,650
Other income	<u>206,685</u>	<u>388,325</u>
Net revenue	11,127,105	12,284,975
Cost of goods sold	<u>9,494,793</u>	<u>9,969,795</u>
Gross profit	1,632,312	2,315,180
Operating expenses	<u>1,510,480</u>	<u>1,706,080</u>
Income from operations	<u>121,832</u>	<u>609,100</u>
Other income (expense):		
Interest expense	(22,060)	(121,245)
Debt forgiven	<u>-</u>	<u>688,137</u>
	<u>(22,060)</u>	<u>566,892</u>
Net income	\$ <u><u>99,772</u></u>	<u><u>1,175,992</u></u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Changes in Stockholder's Equity
Years Ended December 31, 2023 and 2022

	<u>Common Stock</u>	<u>Additional Paid-In Capital</u>	<u>Retained Earnings</u>	<u>Total</u>
Balance, January 1, 2021	\$ 1,000	549,000	2,520,452	3,070,452
Distributions	-	-	(570,276)	(570,276)
Net income	<u>-</u>	<u>-</u>	<u>1,175,992</u>	<u>1,175,992</u>
Balance, December 31, 2022	1,000	549,000	3,126,168	3,676,168
Distributions	-	-	(693,888)	(693,888)
Net income	<u>-</u>	<u>-</u>	<u>99,772</u>	<u>99,772</u>
Balance, December 31, 2023	\$ <u>1,000</u>	<u>549,000</u>	<u>2,532,052</u>	<u>3,082,052</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Cash Flows
Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
Cash flows from operating activities:		
Net income	\$ 99,772	1,175,992
Adjustments to reconcile net income to net cash from operating activities:		
Depreciation and amortization	254,968	281,535
Provision for doubtful accounts	1,704	57
Debt forgiven	-	(688,137)
Change in cash value of life insurance	176,655	(7,763)
Effects of changes in assets and liabilities:		
Accounts receivable	1,516,279	(33,101)
Inventories	637,361	(625,447)
Prepaid expenses	(6,040)	(941)
Accounts payable	(896,620)	537,524
Accrued expenses	(65,702)	(46,222)
Customer deposits	202,140	(73,860)
Net cash from operating activities	<u>1,920,517</u>	<u>519,637</u>
Cash flows from investing activities:		
Purchase of property and equipment	(129,325)	(64,034)
Net change in deposits	10,514	(10,610)
Net cash from investing activities	<u>(118,811)</u>	<u>(74,644)</u>
Cash flows from financing activities:		
Net proceeds (payments) on line of credit	(700,000)	151,078
Principal payments on long-term debt	(17,991)	(17,201)
Payments on lease obligations	(7,166)	(8,151)
Distributions	(693,888)	(570,276)
Net cash from financing activities	<u>(1,419,045)</u>	<u>(444,550)</u>
Increase in cash and cash equivalents	382,661	443
Cash and cash equivalents, beginning of year	224,004	223,561
Cash and cash equivalents, end of year	\$ <u>606,665</u>	<u>224,004</u>

See independent accountants' review report and notes to financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

The following accounting principles and practices of the Company are set forth to facilitate the understanding of data presented in the financial statements:

Company Activities

Highland Computer Forms, Inc. (Company) is a manufacturer of single and multiple part continuous computer paper and business forms. The Company operates manufacturing plants in Ohio and Indiana.

Use of Estimates

The preparation of these financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

New Accounting Standard

The Company adopted FASB ASU 2016-13, Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments, as amended, on January 1, 2023. Topic 326 modifies the measurement of expected credit losses on certain financial instruments. The Company adopted this new guidance utilizing the modified retrospective transition method. The adoption of this Standard did not have a material impact on the Company's financial statements but did change how the allowance for credit losses is determined.

Cash and Cash Equivalents

For purposes of the statements of cash flows, instruments that have an original maturity of three months or less are classified as cash equivalents. Cash paid for interest during 2023 and 2022 amounted to \$18,764 and \$117,949, respectively.

Accounts Receivable and Allowance for Credit Losses

Accounts receivable are uncollateralized customer obligations due under normal trade terms. The Company does not assess interest on past-due accounts. An allowance for credit losses is an estimate based upon historical account write-off trends, facts about the current financial condition of the debtor, forecasts of future operating results based upon current trends and macroeconomic factors. Credit quality is monitored through the timing of payments compared to payment terms and known facts regarding the financial condition of debtors. Accounts receivable balances are charged off against the allowance for credit losses after recovery efforts have ceased. Management has reviewed the Company's accounts receivable and determined that expected credit losses are not material.

Inventories

Inventories of raw material and supplies are valued at the lower of net realizable value or cost as determined under the first-in, first-out method (FIFO). Production runs of the various forms produced by the Company are generally of short duration; therefore, the Company does not capture, or price, in-process inventories. Inventories of finished goods are valued at a fixed percentage of Company's current distributors' price by product. The Company's management is of the opinion that this method approximates the fully burdened cost of the inventory on a FIFO basis.

Goodwill

Goodwill is recognized for the excess of the purchase price over the fair value of tangible and identifiable intangible net assets of businesses acquired. Goodwill reflected on the balance sheets represents the cost of purchased goodwill related to the acquisition of Pummill Business Forms, Inc. in 2010. Generally accepted accounting principles require that the unamortized value of purchased goodwill be evaluated annually to determine whether the amount reported on the balance sheet as an asset has been impaired. In management's opinion, there has been no impairment to the value of recorded goodwill during the years ended December 31, 2023 and 2022.

Property, Plant, Equipment and Depreciation

Property and equipment are carried on the balance sheet at cost. Provisions for depreciation deducted in the statements of income were computed using the straight-line method. Routine maintenance and repairs and minor replacement costs are charged to expense as incurred. The undepreciated cost of equipment sold, net of related proceeds, is included in other income (expense).

Revenue Recognition

The Company derives its revenues primarily from the sale of computer forms and other paper products. Revenues are recognized when control of these products is transferred to its customers at a point in time, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those products and services. Sales and other taxes the Company collects concurrent with revenue-producing activities are excluded from revenue. Shipping and handling fees charged to customers are reported within revenue. Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing components as payment is received at or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year.

Leases

The Company considers an arrangement a lease if, at inception, the arrangement transfers the right to control the use of an identified asset for a period of time in exchange for consideration. Control is defined under ASC 842 as having both the right to obtain substantially all of the economic benefits from use of the asset and the right to direct the use of the asset. Management only reassesses its determination if the terms and conditions of the contract are changed.

Operating leases are included in operating lease right-of-use ("ROU") assets, other current liabilities, and operating lease liabilities in our balance sheets. Finance leases are included in property and equipment, other current liabilities, and other long-term liabilities in our balance sheets.

The lease term reflects the noncancellable period of the lease together with periods covered by an option to extend or terminate the lease when management is reasonably certain that it will exercise such option. The Company uses the risk free rate for a period of time similar to the lease term, determined at the lease commencement date, in determining the present value of lease payments. The risk free rate is used as the information necessary to determine the rate implicit in the lease and the Company's incremental borrowing rate is not readily available. Lease expense for operating leases is recognized on a straight-line basis over the lease term. Short-term leases are less than one year without purchase or renewal options that are reasonably certain to be exercised and are recognized on a straight-line basis over the lease term. The right-of-use asset is tested for impairment in accordance with ASC 360.

Income Taxes

The Company is not a taxpaying entity. The owners are liable for the tax relating to the operations of the entity. Accordingly, no provision for income taxes has been reflected in these financial statements.

Subsequent Events

The Company evaluates events and transactions occurring subsequent to the date of the financial statements for matters requiring recognition or disclosure in the financial statements. The accompanying financial statements consider events through February 13, 2024, the date on which the financial statements were available to be issued.

2. INVENTORIES:

The following summarizes the Company's inventories at December 31:

	<u>2023</u>	<u>2022</u>
Raw Materials	\$ 706,409	1,419,125
Finished Goods	313,473	235,974
Other	<u>76,679</u>	<u>78,823</u>
	\$ <u>1,096,561</u>	<u>1,733,922</u>

3. LINE OF CREDIT:

On December 14, 2022, the Company obtained a revolving line of credit with a maximum borrowing limit of \$700,000. Interest on the credit line is payable monthly at Prime rate plus 1.00%. The line of credit is secured by virtually all Company assets and personal guaranties of the Company's stockholders. The line was due December 2023.

4. NOTES PAYABLE:

The Company's term debt outstanding at December 31 consisted of the following:

	<u>2023</u>	<u>2022</u>
\$500,000 note payable in monthly installments of \$3,163 including interest at 4.50% through December 2040. Secured by mortgage and a personal guarantee of the Company's stockholders.	\$ 433,924	451,915
Less current portion	<u>18,817</u>	<u>17,991</u>
Long term portion	\$ <u>415,107</u>	<u>433,924</u>

Principal payments for subsequent years are as follows:

2024	\$ 18,817
2025	19,682
2026	20,758
2027	21,532
2028	22,521
Thereafter	<u>330,614</u>
	\$ <u>433,924</u>

5. LEASE AGREEMENTS:

The Company's leases certain real estate and office equipment. The Company's lease agreements do not contain any material residual value guarantees or material restrictive covenants. Variable lease payments are excluded from the right-of-use asset and lease liabilities and are expensed as incurred.

The Company's finance leases consist of an agreement to lease office equipment through IBM lease company. The lease is through April 2024 and provides for monthly lease payments of \$754. The Company's operating leases consist of an agreement to lease office space in Iowa from ND 25 W Park Building LLC. The lease is through June 2024 and provides for monthly lease payments of \$1,273.

For the years ended December 31 the Company had the following recorded in operating expenses associated with lease arrangements:

	<u>2023</u>	<u>2022</u>
Finance lease cost:		
Amortization of right-of-use assets	\$ 8,739	8,655
Interest on lease liabilities	310	624
Operating lease expense	15,270	15,270

The following is an analysis of maturities of lease liabilities as of December 31:

	<u>Finance</u>	<u>Operating</u>
2024	\$ 3,016	7,635
Less imputed interest	<u>(15)</u>	<u>(63)</u>
Total lease liability	\$ <u>3,001</u>	<u>7,572</u>

Weighted average remaining lease term in years for finance and operating leases was .33 and .50, respectively at December 31, 2023. Weighted average discount rate for finance and operating leases was 4.0% at December 31, 2023 and 2022.

6. OPERATING LEASES, SHORT TERM, RELATED PARTIES:

The Company is obligated under an agreement to lease a manufacturing facility and office space in Ohio from Fordyce Acquisition Group (owned by certain officers and employees of the Company). The lease is on a month to month basis and provides for monthly rentals of \$3,300. Accounts payable to Fordyce amounted to \$77,500 for years ended December 31, 2023 and 2022. Rent expense under this lease amounted to \$39,600 for the years ended December 31, 2023 and 2022.

The Company is obligated under an agreement to lease a manufacturing facility and office space in Indiana from Philip D. Wilson, a former shareholder of the Company. The lease is on a month to month basis and provides for monthly rentals of \$7,000. Beginning January 1, 2024, monthly rentals increase to \$8,000. Accounts payable Philip D. Wilson amounted to \$28,000 for year ended December 31, 2022. Rent expense under this lease amounted to \$84,000 for the years ended December 31, 2023 and 2022.

7. NOTE PAYABLE, AFFILIATE:

The Company has a note payable to an affiliated partnership through prior common ownership. The balance of the note arose through payments financed due to unpaid lease payments. The note bears no rate of interest, is unsecured and is due upon demand. Since no payments are expected within the next twelve months, the note balance has been presented as long term on the balance sheet. The balance on the note payable amounted to \$193,786 on December 31, 2023 and 2022.

8. PAYCHECK PROTECTION PROGRAM LOAN:

During 2021 and 2020, The Company received loans in the amount of \$688,137 and \$862,310, respectively, under the Paycheck Protection Program (PPP) administered by the Small Business Administration (SBA). The loans are uncollateralized and are fully guaranteed by the Federal government. The loans are due over a term of 24 months and bear interest at a rate of 1%. In accordance with provisions of the loans, amounts may be forgiven based upon certain criteria. During 2021, the loan in the amount of \$862,310 was forgiven and is recorded as debt forgiven on the income statement. During 2022, the loan in the amount of \$688,137 was forgiven and is recorded as debt forgiven on the income statement.

9. EMPLOYEE RETENTION CREDIT:

The Employee Retention Credit was established by the Coronavirus Aid, Relief and Economic Security (CARES) Act. The Act was intended to help businesses retain their workforces and avoid layoffs during the coronavirus pandemic. It provides a per employee credit to eligible businesses based on a percentage of qualified wages and health insurance benefits paid to employees. It works as a refundable payroll tax credit claimed quarterly, and it can provide reductions to payroll taxes or cash refunds. The Company qualifies for the tax credit under the CARES Act and has recorded a credit receivable in the amount of \$1,352,277 as of December 31, 2021. The Company has filed the appropriate paperwork with the Internal Revenue Service and received the credit during January 2023.

10. CASH VALUES OF LIFE INSURANCE:

The Company maintains key-man life insurance policies on certain officers and employees. Under key-man insurance, the Company pays the premiums and receives, upon termination of the policy or the death of the insured, the cash surrender value of the policy. The insured designates a beneficiary to receive the balance of the benefits paid. The cash value of the plans were distributed to shareholders during 2023.

11. RETIREMENT PLAN:

The Company has a savings and retirement plan under Section 401(k) of the Internal Revenue Code. The plan allows employees to defer up to the maximum percentage of compensation and dollar amount permissible under section 402(g) of the IRC not to exceed the limits of code sections 401(k), 404 and 415. The Company, at management's discretion, may also contribute to the Plan. The total charge against income for the Company's discretionary contributions to the plan was \$75,770 and \$72,842 during 2023 and 2022 respectively.

12. CONCENTRATIONS:

The Company maintains its cash accounts in financial institutions where balances may have exceeded Federal Deposit Insurance Corporations (FDIC) limits at various times during the years ended December 31, 2023 and 2022. The Company has not experienced any losses on such accounts.

13. BUSINESS PURCHASE AGREEMENTS:

During 2021, the Company executed a business purchase agreement with The F.P. Horak Company (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 5% of the Company's gross sales made to the business customers for thirty-eight months initiating post-closing August 4, 2021. Earn out payments are recorded as a rebate at the time of sale.

During 2022, the Company executed a business purchase agreement with Dupli-Systems Inc. (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 9% of the Company's gross sales made to the business customers for thirty-six months initiating post-closing February 23, 2022. Earn out payments are recorded as a rebate at the time of sale.